

To: The Virginia Legislature (General Assembly)

Topic: Addressing the Supply of Housing in Virginia

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Define the Problem

There is a shortage of housing in Virginia. From July 2016 to August 2025, the active listing count in Virginia fell by ~54% from ~45,375 to ~20,949 (Realtor.com, 2025). With Virginia's rising population, we would expect the number of homes for sale to be steady or higher. Instead, supply has not kept up with the demand for housing. This has led to housing prices within the same time period rising ~76% (U.S. Federal Housing Finance Agency, 2025). For homebuyers, this looks like a more expensive and competitive market, with 30.5% of homes in Virginia sold above the list price (Redfin, 2025). This indicates a clear issue of not enough supply keeping up with demand, also known as a shortage.

Assemble Some Evidence

How a Housing Shortage leads to Increased Prices

The housing shortage reflects the gap between the number of homes that *should* exist in a functioning market and how many do (Corinth and Dante, 2022). From the problem defined earlier, we see that Virginia, not keeping up with growth, is presumably in a shortage (Realtor.com, 2025). Compared to other goods and services, housing is a necessity. We cannot forgo housing and replace it with an alternative. Since the demand is inelastic, this leaves Virginians having to pay more for housing no matter what (U.S. Federal Housing Finance Agency, 2025).

What is limiting housing production

Housing production within Virginia is primarily caused by supply-constraining regulations (Corinth and Dante, 2022). Local regulations like minimum lot sizes, height limits, parking mandates and permitting delays restrict how many homes can be built (Corinth and Dante, 2022). The combination between high levels of regulation and strong demand in certain areas leads to

tight expensive markets. Corinth and Dante (2022) find that highly regulated and in-demand housing markets experience the greatest shortages. For instance, Arlington County, Virginia, faces a shortage equal to 47 percent of its housing stock, among the most severe in the nation. Been (2018) explains that cities, were once viewed as places for growth, are now exclusionary.

Outside of policy directly harming housing production, political and social opposition from locals in the area has also limited the expansion of housing. Neighborhood groups, homeowners, and renters, often will show up to city hall meetings in opposition to new developments out of fear of rising costs, changes to their neighborhoods, and displacement. This phenomenon, defined by Been (2018) as ‘city NIMBYism’ which limits the number of approved projects and slows construction in high-demand housing areas. The concentrated cost to homeowners motivates local officials to be highly risk averse to keep their political standing, limiting the amount of new projects that may upset long-term locals (Been, 2018). Citizens that have lived in an area long term have an incentive to advocate for themselves while someone looking for housing across many areas does not have as much of an incentive to advocate for new housing.

Harm of a Housing Shortage

The level of harm from Virginia’s housing shortage makes it something to be prioritized. The effects extend past just higher costs of living. Nearly half of Virginia renters are cost burdened, spending over 30% of their income on housing (JLARC, 2021). The shortage of housing limits labor mobility, economic competitiveness, and worsens inequality. Employers increasingly report losing workers due to high housing costs, particularly in Northern Virginia (Virginia Department of Housing and Community Development, 2022). All of these are examples of how housing costs alone have rippling effects on Virginia’s economy.

Prior Policy Attempts

Virginia has implemented several programs aimed at improving housing affordability, including the Virginia Housing Trust Fund, the state Low-Income Housing Tax Credit (JLARC 2021). Local attempts include zoning reforms in cities such as Arlington and Charlottesville (Horowitz and Hatchett 2024). These attempts have tried to address the housing shortage issue through financing affordability and modestly expanding local housing options. The impact of these policies has been limited. Supplementing demand does not address the supply issue, and zoning reform attempts are voluntary and still face the political pressures from NIMBYs.

Addressing the Shortage

The Builder's Remedy policy offers one of the strongest ways to hold localities accountable for housing growth. This policy targets local underproduction and obstruction from local policy by giving an alternative way to approval to build. Under California's system, cities must have a state-approved housing plan, or they lose their ability to deny qualifying housing projects, allowing developers to build higher-density, mixed-use, mixed-income developments by right. RAND researchers note that the policy's implementation in Santa Monica led to a surge of proposals for new housing projects, showing how removing a barrier to entry lead to greater private investment and future housing supply (Ward, 2022). To give Builder's remedy "teeth" California passed legislation to make it enforceable and clarified penalties for local violations. Gustavo Alvarez (2023) found that since the 2019 amendments that strengthened the act (SB 330, SB 8, and AB 215) tens of thousands of units were proposed statewide under Builder's Remedy, forcing historical exclusionary cities to either comply with new state housing law or risk losing zoning control. Builder's Remedy gives policymakers options by having different requirements under each locality's plan. For example, California requires that at least 20% of units in qualifying projects be affordable to low-income households, or that all units be

affordable to moderate-income households (Alvarez 2023).

Another approach to address Virginia's housing shortage would be to establish state-level incentives that reward localities for increasing their housing supply by approving and building more. Rather than relying solely on mandates, this policy would align local and state interests by trying to fund access to measurable housing outcomes. The Virginia Legislature could implement a "Pro-Housing Incentive Program" within the Department of Housing and Community Development (DHCD). DHCD could offer an incentive of priority access to infrastructure and transportation grants for jurisdictions that meet annual housing targets (Virginia Department of Housing and Community Development, 2023).

Similar programs have been tried in other states, with places like California's *Prohousing Designation Program* and Massachusetts's *Housing Choice Initiative* both reward local governments that adopt zoning reforms or meet production goals with increased access to state resources. As of Late 2023, thirty jurisdictions in California received the designation, according to Carolina Reid of UC Berkeley's Turner Center, many of the program's policies require localities to implement evidence-based policies, such as removing parking minimums, allowing greater density bonuses, and streamlining approval. The program was able to show that when localities are given financial and competitive incentives to reform zoning and permitting, they respond by adopting pro-housing policies that expand supply over time (Reid, 2023).

Massachusetts also took a similar route through its Housing Choice Initiative, which rewards communities that meet housing production targets or implement zoning changes for additional state grants. Since its start, the program has directed over twenty-seven million dollars in state funding. The initiative tracks progress toward a goal of 135,000 new housing units statewide by

2025, about 17,000 per year and from 2018 to 2021 added a total of 69,095 units (“Housing Choice Initiative” 2023).

Construct the Alternatives

This policy memo provides three options for the Virginia Legislature to choose from:

1. **Builders Remedy:** The Virginia legislature would pass a bill like Builder’s Remedy in California. The legislature would create a standard that each locality must follow and submit a plan for. If this plan is not up to the standard, nor followed through with, developers will have the ability to build without the need of approval from the respective locality. This would remove local barriers that block new development and encourage higher-density, mixed-use projects in high-demand areas (Ward, 2022; Alvarez 2023).
2. **Pro-Housing Incentive Program:** The Legislature could implement a “Pro-Housing Incentive Program” within the DHCD. Localities that meet housing production targets or adopt zoning reforms would receive priority access to infrastructure and transportation grants.
3. **Base Case:** The two previous options are compared to the case if there were to be no changes to the current landscape of state-level policy.

Select the Criteria

The chosen policy alternative should be able to address the housing shortage in Virginia. To set a criteria, we cannot predict specifically what will happen to the housing supply in Virginia, but we can have a general view of what each policy will do. Using the examples of other states, we can apply the results generally for each policy. For example, applying the benefits of Builder’s Remedy from California to the possibility of what it would do in Virginia. Based on the research

of each policy, we can make a general prediction of how well the policies will do under each criterion.

Increasing supply and improving affordability are directly connected, since a greater supply of homes reduces upward price pressure. Political feasibility is vital because housing reform often faces resistance from local governments and residents. A policy that cannot gain legislative or local support will not be effective, regardless of its design (Been, 2018; Virginia Department of Housing and Community Development, 2022).

Here are the criteria:

- **Increase Supply:** The extent to which the policy expands the housing construction across Virginia to address the shortage. This will be measured by the ability of the policy to address the barriers to building housing and the potential for new housing developments.
- **Improve Affordability:** The degree to which the policy lowers housing costs for buyers and renters. This will be assessed by whether the policy effectively increases total housing stock while also addressing mixed-income development.
- **Political Feasibility:** The likelihood that the policy can gain support from the Virginia General Assembly and local governments. This criterion accounts for local resistance, administrative capacity, and public acceptance of reforms.

Each alternative will be evaluated equally across these three criteria to determine which best addresses Virginia's housing shortage while remaining practical to implement.

Project the Outcomes

The outcomes for each policy alternative are projected in the table below. The base case and alternatives are listed in the rows, while the evaluation criteria are shown in the columns. The

scores are based on a scale of one to five, with higher scores representing stronger performance under each criterion. Each policy's total score reflects the sum of its three category scores.

Table 1: Matrix comparing projected outcomes for policy alternatives aimed at addressing Virginia's housing shortage.

Criteria (C) → Alternatives ↓	C1: Increase Supply	C2: Improve Affordability	C3: Political Feasibility	Total Score
Builders Remedy	5	4	2	11
Pro-Housing Incentive Program	3	2	4	9
Base Case	1	1	5	7

Notes: The Base case receives the score on supply and affordability since existing programs such as the Housing Trust Fund and voluntary zoning reforms have not significantly expanded housing supply or reduced costs (JLARC 2021). It scores the highest on political feasibility because maintaining the status quo faces little resistance. The Builders Remedy receives the highest score for increasing supply because evidence from California shows it directly compels housing production in noncompliant localities and encourages higher-density projects (Ward, 2022; Alvarez 2023). It also improves affordability by expanding total stock but scores low on political feasibility, as it gives less autonomy to localities since they often resist losing zoning control (Been 2018). The Pro-Housing Incentive Program scores moderately on supply and affordability since it motivates local reform rather than mandates. Places with higher resistance are typically places that have constrained supply and affordability. The reason C1 is 3 and C2 is 2 is because the policy's impact depends on local participation. Jurisdictions may adopt reforms to qualify for funding, while others may opt out and see little change in housing production or prices. It scores higher on political feasibility as it incentivizes, rather than enforces, and is less likely to face backlash compared to policies like Builder's Remedy (Reid, 2023; Virginia Department of Housing and Community Development 2022).

Confront the Trade-Offs

The base case received the lowest total score because it maintains the current approach, which has failed to address Virginia's housing shortage. Existing programs such as the Housing Trust

Fund and local zoning reforms have not expanded supply enough to lower costs (JLARC 2021). While politically safe, this approach would allow the shortage of housing in Virginia to continue and supply constraints to worsen over time (Virginia Department of Housing and Community Development, 2022).

The Builder's Remedy scores highest on increasing supply because it directly compels localities to meet state housing standards or lose their ability to deny qualifying projects. Evidence from California shows that the policy led to a surge in new housing proposals in cities that previously resisted development (Ward, 2022; Alvarez, 2023). This approach could similarly expand Virginia's supply of multifamily and mixed-income housing. Another advantage is that Builder's Remedy can adjust its goals by updating standards for localities to follow. For example, Builder's Remedy can set a criteria of each locality building more units based on the expected growth withing the area. The trade-off is political: local governments would view it as a loss of autonomy in zoning, making it difficult to pass through the General Assembly. The lack of control creates high opposition risk despite the policy's strong production potential (Been 2018). What remains unclear is whether there is enough evidence if the concentrated costs that normally permeates in local politics through NIMBYism would have enough political sway in opposition to Builder's Remedy.

The Pro-Housing Incentive Program performs best on political feasibility. Instead of mandates, it offers financial incentives to encourage cooperation between the state and localities. Similar programs in California and Massachusetts show that localities respond when state resources are tied to performance (Reid 2023). While its voluntary structure makes it easier to implement, its impact on supply and affordability would depend on participation. Localities most in need of reform may resist engaging, limiting overall housing gains. The program's main advantage is

that it builds long-term state-local alignment without triggering the same political resistance as Builder's Remedy.

Stop Focus, Narrow, Deepen, Decide

Based on the scoring analysis, the recommended policy is Builder's Remedy. It received the highest total score and has the strongest potential to address the shortage of housing in Virginia. Evidence from California shows that when localities are held accountable to production goals, housing proposals rise significantly, especially in high-demand areas that previously resisted growth (Ward, 2022; Alvarez 2023).

While Builder's Remedy faces political challenges, its enforcement mechanism directly addresses the core issue. Local underproduction is driven by restrictive zoning and delays. Over time, this policy could reset the balance of housing authority between state and local governments and bring a consistent level of accountability across Virginia. Builder's Remedy gives the state the flexibility to ease implementation through policies like phased standards, possibly reducing backlash.

Alternative approaches, such as the Pro-Housing Incentive Program, rely too heavily on voluntary participation and may not generate enough housing in places where NIMBY prominence is greater than the incentives from the program. The Base Case offers political safety but fails to resolve the shortage or affordability. Builders Remedy addresses the shortage by restoring housing supply growth and addressing structural barriers that have limited Virginia's housing market.

For Builders Remedy to be impactful it must follow this process:

The first year, DHCD drafts the criteria that would create a targeted supply amount, with

possible additions like requirements for affordable housing units. The second year would be for states to review the local plans and to decide if they meet the criteria. For any group that doesn't follow, the third year of penalties must be applied. Localities without compliant plans lose discretionary denial authority, allowing developers to proceed by right.

Tell Your Story

Many Virginians are unable to find stable and affordable housing. Home prices have risen by more than 70% since 2016 while simultaneously homes for sale have fallen by over half (Realtor.com 2025; U.S. Federal Housing Finance Agency 2025). Half of renters spend more than 30% of their income on housing (JLARC 2021). Without intervention, Virginia's shortage will continue to push families farther from jobs, schools and opportunities.

The state's own data shows that Virginia builds around 30,000 new homes per year, which is only half of what's needed to keep up with population growth (Virginia Department of Housing and Community Development 2022). This shortage will only worsen if nothing is done about the lack of new housing being built. Policies like Builder's Remedy can reverse this by holding localities accountable for meeting housing goals and creating real consequences for failure. The longer we wait, the less housing there will be available, and the cost will continue to rise. With 73% of Virginians saying housing costs are a crisis (Woods, 2025), policies must address the crisis of costs, and supply.

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